



Fund 577 - Voluntary Workforce Housing Incentive Program

History & Description

On August 11, 2018, Tustin City Council approved Ordinance 1491 that added Chapter 9B to the Tustin City Code entitled “**Voluntary Workforce Housing Incentive Program**”, requiring the provision of affordable housing, or in some instances, the payment of an in-lieu fee, where developers opt to construct residential uses within any existing or future-adopted specific plan area through the utilization of Residential Allocation Reservations (“RARs”).

Calculation

The contribution of fees is payable in accordance with Tustin City Code Chapter 9B BB923 (b)(c). Calculations of the fee are as follows:

	1.	2.
Per Unit Fee \$14,478 (calendar year 2023) AND Per Unit Fee \$14,984 (calendar year 2024)	Multiply the per unit fee by ½ of the number of base units provided on site. (Unit Fee) X (Base Units Provided On-site / 2)	Multiply the per unit fee by ½ the residential project’s total square feet of residential area. (Unit Fee) X (Residential Project’s Total Square Feet of Residential Area / 2)

Fund Activity

	2023-2024 Actual
Beginning Balance	2,089,584
Revenue:	
Allocated Interest ¹	115,864
Inclusionary Housing Fee	101,346
Expenses:	
Projects	5,471
Ending Fund Balance	2,301,323

¹ Allocated Interest includes Unrealized Gain/Loss.

2023-2024 Projects

Families Forward - 2023-2024 Expended \$5,471

On November 7, 2023, the City Council approved a grant agreement between the City of Tustin Housing Authority and Families Forward in the amount of \$2,000,000 for the construction of six to eight affordable housing units. Council also appropriated an additional \$100,000 to cover the administrative costs of the project. The City will